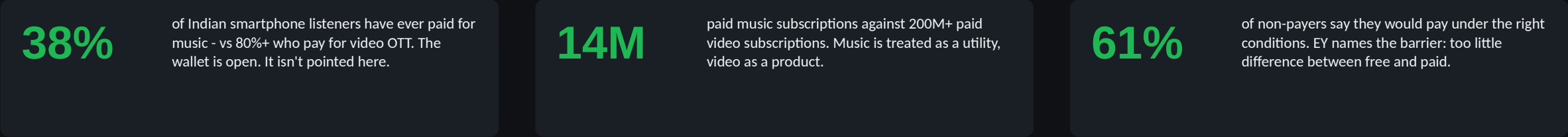


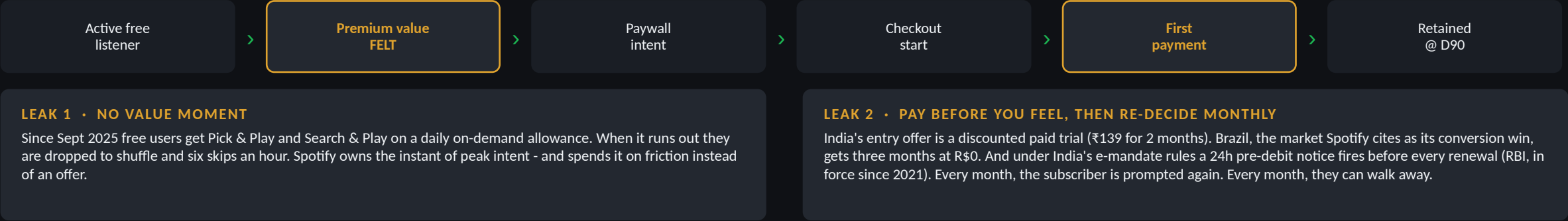
India will pay for entertainment. It won't pay for music it already has.

The constraint is not price and not payment capability. It is that Premium is never felt - and buying it means committing before you've felt it.

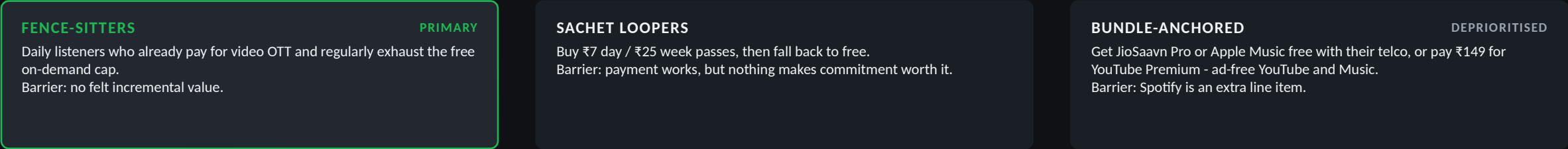


EY-IMI, "How India listens, streams and pays for music", Jul 2026 (survey n=15,373)

THE FUNNEL - AND WHERE IT ACTUALLY LEAKS



SEGMENTED BY BARRIER, NOT DEMOGRAPHICS



Why Fence-sitters first: they are the only segment where willingness to pay, working payment rails and heavy engagement are all already proven. What's left is a product barrier - the one thing a PM can actually move in four quarters. Bundle-anchored users need a Jio or Airtel deal Spotify cannot win today.

Sell the moment they hit the wall - then let them recharge, not subscribe.

Spotify already owns two unused assets in India - a per-user on-demand throttle, and ₹7 / ₹25 sachet SKUs. **It has never connected them.**

WHAT WE BUILD

01

Flip the throttle from punishment to proof

When a Fence-sitter exhausts the daily on-demand allowance mid-search, don't degrade them to shuffle. Grant an unlocked Premium Session - 60-90 minutes of full control, live offline button, no ad break. End it with the contrast made concrete, and a ₹25 offer rather than a subscription pitch.

02

Catch the moment with a sachet, not a mandate

One-tap UPI purchase of a week pass. Payment still needs UPI PIN approval (India's payment security is not the barrier). What goes away is the auto-renew mandate: no standing instruction, no 24h renewal notice, no monthly re-decision. Spotify's own India MD calls this "sachetisation". The SKUs exist. They are buried on a pricing page instead of placed at the point of intent.

03

Build a recharge ladder, not a subscription funnel

Roughly 90% of Indian mobile users are prepaid (TRAI). India tops up; it does not subscribe. After repeat top-ups, offer the ₹799 prepaid year Spotify already sells - "pay once in advance, does not auto-renew". Auto-renew becomes an upgrade for proven repeat buyers, never the entry gate.

WHAT WE EXPLICITLY WILL NOT DO IN THESE FOUR QUARTERS

✗ **Not cut price.** Standard is ₹139. YouTube Premium is ₹149 for ad-free YouTube and Music. We lose to a bundle, not to a number - cutting only lowers ARPU on subscribers we already have.

✗ **Not degrade the free tier broadly.** Spotify tried exactly this in India in Oct 2023 and reversed globally in Sept 2025 over Gen Z retention. Only the dynamic throttle changes - and it gets more generous, not less.

✗ **Not chase a Jio or Airtel bundle.** Jio bundles JioSaavn; Airtel has been contracted to Apple Music since Wynk shut in Dec 2024. Vi is the deal we have (live Jun 2026). Prove bundle→paid retention there first.

✗ **Not build more Premium features.** Lossless and AI DJ sit in Platinum at ₹299 - an ARPU lever for the top of the market. EY finds payment is driven by convenience, not new capability.

The trade-off we are accepting: sachets can cannibalise ₹139/month subscribers into ~₹50/month weekly buyers. That is the central risk of this bet, which is why the success metric is retained contribution margin - not subscriber count, and emphatically not trial starts.

Prove the value moment in Q1. Scale only what still pays at D90.

Every numeric target here is illustrative and to be set once a baseline exists. No trustworthy India funnel baseline is instrumented today - building one is Q1 work, not an assumption.

Q1

INSTRUMENT & ISOLATE

- Instrument the funnel end to end and establish real baselines.
- Diary study with Fence-sitters who hit the cap and have never subscribed.
- Run the two experiments specified below.
- UNLOCKS: is the binding constraint value, or payment?**

Q2

SMALLEST VIABLE LAUNCH

- Ship the winning flow to three metro and one non-metro cohort.
- Ship the ladder: repeat weekly passes trigger the ₹799 prepaid-year prompt.
- Primary: incremental RETAINED payers at D90. Guardrails: contribution margin per acquired user, monthly→weekly cannibalisation.
- UNLOCKS: retained payers, or a churn treadmill?**

Q3

ITERATE ON RETENTION

- Fix the D30/D90 drop-off the data exposes - not the acquisition top.
- Test WhatsApp vs push for top-up reminders; WhatsApp is what actually works for dunning in India.
- Vi bundle: measure month-4 conversion after the three free months, and route that handoff into the ladder rather than a mandate.
- UNLOCKS: which cohorts and partners earn scale spend?**

Q4

SCALE ON GATES, NOT HOPE

- Pre-committed gates: D90 paid retention, contribution margin per acquired subscriber, and a ceiling on free-tier DAU decline.
- Gates met → national rollout, then open telco #2 from a position of proven bundle economics.
- Gates missed → stop. The diagnosis was wrong, and the next bet is distribution, not product.

THE TWO Q1 EXPERIMENTS, SPECIFIED

EXP 1 · THE VALUE MOMENT

Hypothesis: Free users who hit the daily on-demand cap convert more when the cap triggers an unlocked Premium Session plus a ₹25 week-pass offer than when it triggers degradation to shuffle.

Cohort & design: Free users hitting the cap ≥3×/week. Randomised A/B against the current degrade experience.

Primary / guardrails: Paid starts per 1,000 cap-hits · free-tier DAU, session length, support complaints.

Unlocks: Whether felt value is the binding constraint - and whether the throttle is worth rebuilding.

EXP 2 · THE PAYMENT MOMENT

Hypothesis: Checkout abandonment is driven more by setting up an auto-renew mandate than by price. UPI PIN approval is fine; standing instructions are the deterrent.

Cohort & design: Users reaching checkout. Identical offer and price; two checkouts: one-tap UPI week-pass with no auto-renew vs the current monthly plan with UPI Autopay mandate.

Primary / guardrails: Checkout completion rate · refund and chargeback rate, payment-failure complaints.

Unlocks: How much of Leak 2 is the mandate itself vs the underlying value proposition, and whether the recharge ladder is worth building.

HOW WE JUDGE IT

NORTH STAR

Incremental retained paid subscribers at D90. Not trial starts. Not pass starts. Not MAU.

HEALTH

Checkout completion · pass→pass repeat rate · pass→prepaid-year step-up · trial-to-paid where a trial is used.

GUARDRAILS

Free-tier DAU and listening hours · net contribution margin per acquired subscriber · monthly-plan cannibalisation · support complaint rate.

Biggest risk, named up front: if Fence-sitters buy sachets happily and never step up, Spotify trades ₹1,668/year subscribers for roughly ₹600/year pass buyers - conversion rises while contribution falls. The Q2 gate exists to catch precisely this before anything scales.